

UNION DICON SALT PLC

**UNAUDITED ACCOUNTS
FOR THE 2ND QUARTER
2026**

UNION DICON SALT PLC
STATEMENT OF COMPREHENSIVE INCOME
FOR THE PERIOD ENDED 30TH JUNE, 2026

	NOTE	QUARTER 2		YEAR TILL DATE	
		2026 =N='000	2025 =N='000	2026 =N='000	2025 =N='000
Revenue	7	4,487	-	13,005	-
Less: Cost of Sales	8	(6,870)	-	955	-
Gross Profit		11,357	-	13,960	-
Other Operating Income	9	38,852	75,000	110,954	102,250
Administrative Expenses	10	(49,001)	(65,597)	(130,163)	(75,985)
Profit/(Loss) before tax		1,208	9,403	9,575	26,265
Income Tax Expenses	11 (i)	-	-	-	-
Profit/(Loss) for the year		1,208	9,403	9,575	26,265
Other Comprehensive Income		-	-		
Item that will be reclassified to profit or loss					
Item that may not be reclassified to profit or loss:					
Actuarial gain on gratuity	16 (e)	-	-	-	-
Total Comprehensive Profit/(loss) for the year Net of Tax		1,208	9,403	9,575	26,265

UNION DICON SALT PLC
STATEMENT OF FINANCIAL POSITION
AS AT 30TH JUNE, 2026

		QUARTER 2		YEAR TILL DATE
	Notes	2026	2025	2026
		=N='000	=N='000	=N='000
ASSET				
Property, Plant and Equipment	12	5,167,233	255,850	5,426,545
Investment in subsidiary		-	-	-
		<u>5,167,233</u>	<u>255,850</u>	<u>5,426,545</u>
CURRENT ASSET				
Trade and Other Receivables	13	359,446	73,245	721,342
Cash and Cash Equivalents	14	8,057,187	294,620	19,563,626
		<u>8,416,633</u>		<u>10,536,738</u>
		<u>13,583,866</u>	<u>367,865</u>	<u>13,583,866</u>
CURRENT LIABILITIES				
Trade and Other Payables	15	14,772,679	2,011,084	14,772,679
Current Tax liabilities	11 (iii)	85,957	85,957	85,957
		<u>14,858,636</u>	<u>(2,097,041)</u>	<u>14,858,636</u>
NET CURRENT LIABILITIES				
TOTAL ASSETS LESS CURRENT LIABILITIES		<u>(1,274,770)</u>	<u>(1,473,326)</u>	<u>(1,274,770)</u>
NON-CURRENT LIABILITIES				
Employee Benefit Liabilities	16 (d)	60,002	60,002	60,002
Deferred Tax Liabilities	11 (v)	11,413	11,413	11,413
		<u>71,415</u>	<u>71,415</u>	<u>71,415</u>
NET LIABILITIES		<u>(1,346,185)</u>	<u>(1,401,911)</u>	<u>(1,346,185)</u>
EQUITY				
Share Capital	17 (a)	136,673	136,673	136,673
Share Premium	17 (b)	250,638	250,638	250,638
Actuarial Valuation Reserve	18	65,692	65,692	65,692
Revenue Reserve	19	(1,799,188)	(1,854,914)	(1,799,188)
TOTAL EQUITY		<u>(1,346,185)</u>	<u>(1,401,911)</u>	<u>(1,346,185)</u>

The financial statements were approved by the Board of Directors on, 13th July, 2026 and signed on its behalf by:

(i) LT. General T.Y Danjuma (RTD), GCON

Chairman



(ii) Florence S. Iroye



Ag. Managing Director

(iii) Peter A. Adelowo



HEAD, ACCOUNTS

FRC/2025/PRO/ICAN/001/208881

UNION DICON SALT PLC
CASHFLOW STATEMENT
FOR THE PERIOD ENDED 30TH JUNE, 2026

		QUARTER 2	
	NOTES	2026 =N='000	2025 =N='000
CASH FLOW FROM OPERATING ACTIVITIES			
Profit/(loss) before taxation YTD		1,208	35,668
Adjustment for non cash items			
Depreciation of property, plant and equipment	14	3,149	6,672
Accruals		-	-
Post balancesheet adjustment		-	-
Income Tax Expense	13(i)	-	-
Operating profit before capital changes		4,357	42,340
Changes in working capital			
(Increase)/Decrease in other receivables	16	(359,446)	(92,475)
(Decrease)/Increase in Employee Benefit Liabilities	19(d)	-	-
Increase/(Decrease) in Trade and other payables	18	14,072,679	(32,655)
Decrease in Tax Liabilities			
Tax paid	13	-	-
NET CASH FLOW FROM OPERATING ACTIVITIES		13,717,590	(82,790)
CASH FLOW FROM INVESTING ACTIVITIES			
Purchase of PPE	14	(5,021,000)	(7,700)
Pre-Operation Factory expenses			(84,822)
Investment in subsidiary	15	-	-
Net cash flow from investing activities		(5,021,000)	(92,522)
Net increase/decrease in cash and equivalents		(5,570,355)	(136,552)
cash and cash equivalent at beginning		13,627,542	431,172
cash and cash equivalent at the end of the quarter	14	8,057,187	294,620
REPRESENTED BY:			
BANK BALANCE AS AT 30TH JUNE 2026		2,007,187	294,620
Bank(Term Deposit)		6,050,000	-
		8,057,187	294,620

UNION DICON SALT PLC
STATEMENT OF CHANGE IN EQUITY
FOR THE PERIOD ENDED 30TH JUNE, 2026

	Share Capital =N='000	Share Premium =N='000	Reserve For Actuarial Valuation =N='000	Retained Earnings =N='000	Total Equity =N='000
Balance as at 1 April 2026	136,673	250,638	65,692	(1,881,181)	(1,428,178)
Comprehensive Income for the year	-	-	-	-	-
Profit for the year	-	-	-	(34,569)	(34,569)
Other comprehensive income	-	-	-	-	-
Total comprehensive income for the year	-	-	-	(34,569)	(34,569)
Transaction with owners recorded directly in equity					
Balance at 30th June 2026	136,673	250,638	65,692	(1,915,750)	(1,915,750)
Balance as at 1 April 2025	136,673.00	250,638.00	65,692.00	-	(1,428,178)
Comprehensive Income for the year	-	-	-	-	-
Profit for the year	-	-	-	26,265	26,265
Other comprehensive income	-	-	-	-	-
Total comprehensive income for the year	-	-	-	26,265	26,265
Transaction with owners recorded directly in equity					
Balance at 30th June 2025	136,673	250,638	65,692	(1,854,916)	(1,401,913)

FOR THE PERIOD ENDED 30TH JUNE, 2026**NOTES TO THE FINANCIAL STATEMENTS****1) Corporate information and principal activities**

Dicon Salt Limited and Union Salt Limited were incorporated as private limited liability companies on 11 October 1984 and 30 May 1991 respectively. The principal activity of the Company is the processing of crude salt. The issued share capital of the Company is held thus: 28% by Aims Limited, 19% by

Its registered office is at Phase 2, NPA Kirikiri Lighter Terminal Apapa Lagos.

2) Basis of preparation**a Statement of compliance**

The financial statements have been prepared in accordance with International Financial Reporting Standards (IFRS) as issued by the International Accounting Standards Board (IASB) and in compliance with the requirements of the Companies and Allied Matters Act, 2020 and Financial Reporting Council of Nigeria Act No 6, 2011.

b Basis of measurement

The financial statements have been prepared under the historical cost concept except for certain financial instruments which were measured at fair

c Functional and presentation currency

The Company's functional and presentation currency is the Nigerian Naira. The financial statements are presented in Nigerian Naira and have been rounded up to the nearest thousand except where otherwise stated.

d Use of estimates and judgement

The preparation of financial statements in conformity with IFRS requires the use of certain critical accounting estimates and judgments. It also requires management to exercise its judgement in the process of applying the Company's accounting policies. The areas involving a higher degree of judgement or complexity, or areas where assumptions and estimates are significant to the financial statements are disclosed in note 4.

3 New standards, interpretations and amendments**(a) New standards, interpretations and amendments adopted from 1 January 2022**

New standards effective for adoption in the annual financial statements for the year ended 31 December 2022 but had no significant effect or impact

Standard/Interpretation		Date Issued by IASB	Effective date periods beginning on or after
IAS 37	Onerous Contracts - Cost of Fulfilling a Contract	14 May 2022	1 January 2022
Amendments to IFRS 1, IFRS 9, IFRS 16 and IAS 41	Annual Improvements to IFRS Standards 2018-2020	14 May 2020	1 January 2022
IAS 16	Property, Plant and Equipment – Proceeds before Intended Use (Amendments to IAS 16)	14 May 2020	1 January 2022
IFRS 3	Reference to the Conceptual Framework	14 May 2020	1 January 2022

The following are the new standards and interpretations that have been issued, but are not mandatory for the financial year ended 31 December 2022. They have not been adopted in preparing the financial statements for the year ended 31 December 2022.

In terms of International Financial Reporting Standards, the company is required to include in its financial statements disclosure about the future impact of standards and interpretations issued but not yet effective at reporting date.

At the date of authorisation of the financial statements of the Company for the year ended 31 December 2022, the following standards and interpretations were in issue but not yet effective:

Standard/Interpretation		Date issued by IASB	Effective date periods beginning on or after
IAS 1	Disclosure of Accounting Policies (Amendments to IAS 1 and IFRS Practice Statement 2)	12 February 2021	1 January 2023
IAS 8	Definition of Accounting Estimates (Amendments to IAS 8)	12 February 2021	1 January 2023
IAS 12	Deferred Tax related to Assets and Liabilities arising from a single Transaction (Amendments to IAS 12)	7 May 2021	1 January 2023
IFRS 16	Lease liability in a Sale and Leaseback (Amendments to IFRS 16)	22 September 2022	1 January 2024
IAS 1	Non-current liabilities with covenants	31 October 2022	1 January 2024
IAS 1	Classification of liabilities as current or non-current	31 October 2022	1 January 2024

*All standards and interpretations will be adopted at their effective date (except for those standards and interpretations that are not applicable to the Entity).

4) Critical accounting estimates and judgements

The Company makes certain estimates and assumptions regarding the future. Estimates and judgements are continually evaluated based on historical experience as well as other factors, including expectations of future events that are believed to be reasonable under the circumstances. In the future,

i) Legal proceedings

The Company reviews outstanding legal cases following developments in the legal proceedings and at each reporting date, in order to assess the need for provisions and disclosures in its financial statements. Among the factors considered in making decisions on provisions are the nature of litigation, claim or assessment, the legal process and potential level of damages in the jurisdiction in which the litigation, claim or assessment has been brought, the progress of the case (including the progress after the date of the financial statements but before those statements are issued), the opinions or views of legal advisers, experience on similar cases and any decision of the Company's management as to how it will respond to the litigation, claim or assessment.

ii) Income and deferred taxation

The Company incurs corporate tax liability and recognises changes to deferred tax assets and deferred tax liabilities, all of which are based on management's interpretations of applicable laws and regulations. The quality of these estimates is highly dependent upon management's ability to properly apply at times a very complex sets of rules to recognise changes in applicable rules and in the case of deferred tax assets, management's ability to project future earnings from activities that may apply loss carry forward positions against future income taxes.

iii) **Impairment of property, plant and equipment and intangible assets**

The Company assesses assets or groups of assets for impairment annually or whenever events or changes in circumstances indicate that carrying amounts of those assets may not be recoverable. In assessing whether a write-down of the carrying amount of a potentially impaired asset is required, the asset's carrying amount is compared to the recoverable amount. Frequently, the recoverable amount of an asset proves to be the Company's estimated value in use.

The estimated future cash flows applied are based on reasonable and supportable assumptions and represent management's best estimates of the range of economic conditions that will exist over the remaining useful life of the cash flow generating assets.

iv) **Estimates of useful lives and residual value**

The estimates of useful lives and residual values of property, plant and equipment impact the annual depreciation charge. The useful lives and residual values are based on management experience and the condition of the assets. Consideration is given to management's intended usage policy for the assets in the future and potential market prices of similar assets.

5) **Summary of significant accounting policies**

The Company's accounting policies set out below have been applied consistently to all years presented in these financial statements.

a) **Foreign currency transactions**

In preparing the financial statements of the Company, transactions in currencies other than the entity's presentation currency (foreign currencies) are recognised at the rates of exchange prevailing at the dates of the transactions and any exchange differences arising are included in the income statement of the reporting period.

Monetary items denominated in foreign currency are translated using the closing rate as at the reporting date. Non-monetary items measured at historical cost denominated in a foreign currency are translated with the exchange rate as at the date of initial recognition; non monetary items in a foreign currency that are measured at fair value are translated using the exchange rates at the date when the fair value was determined.

Foreign exchange gains and losses resulting from the settlement of foreign currency transactions and from the translation at the reporting date exchange rates of monetary assets and liabilities denominated in foreign currencies are recognised in the Income statement.

All foreign exchange gains and losses recognised in the income statement are presented net in the Income statement within other operating income and operating expenses respectively. Foreign exchange gains and losses on other comprehensive income items are presented in other comprehensive income within the corresponding item.

b) **Revenue**

The Company supplies salt in the wholesale market. Sales are recognized when control of the goods has transferred, being when the goods are delivered to the wholesaler, the wholesaler has full discretion over the channel and price to sell the goods, and there is no unfulfilled obligation that could affect the wholesale's acceptance of the goods. Delivery occurs when the goods have been transported to the specific location of the

The goods is often sold with volume discounts based on aggregate sales value over a 12 months period. Revenue from these sales is recognized based on the price specified in the contract, net of the estimated volume discounts. Accumulated experience is used to estimate and provide for A receivable is recognized when the goods are delivered as this is the point in time that the consideration is unconditional because only the passage of time is required before the payment is due.

c) **Finance income and finance expense**

Interest income on short-term deposits is recognised by reference to the principal outstanding and at the effective interest rate applicable, which is the rate that exactly discounts estimated future cash receipts through the expected life of the financial asset to the asset's net carrying

Dividend income from investments is recognised in the income statement when the shareholder's right to receive payment has been established (provided that it is probable that the economic benefits will flow to the Company) and the amount of income can be measured reliably.

Finance costs comprise interest expense on borrowings, unwinding of the discount on provisions, changes in the fair value of financial assets at fair value through profit or loss where the Company holds such financial assets and impairment losses recognised on financial assets (other than

d) **Property, plant and equipment**

i) **Recognition and measurement**

Property, plant and equipment are measured at cost less accumulated depreciation and any accumulated impairment losses. Cost includes expenditure that is directly attributable to the acquisition of the assets. Items of property, plant and equipment under construction are disclosed as capital work in progress. The cost of construction recognised includes the cost of materials and direct labour, any other costs directly attributable to bringing the assets to a working condition for their intended use, the costs of dismantling and removing the items and restoring the site on which they are located, and borrowing costs on qualifying assets.

ii) **Subsequent costs**

The cost of replacing a part of an item of property, plant and equipment is recognised in the carrying amount of the item if it is probable that the future economic benefits embodied within the part will flow to the Company and its cost can be measured reliably. The carrying amount of the replaced part is then derecognised. The costs of the day-to-day servicing and maintenance of an item of property, plant and equipment are recognised in the income statement during the period in which they are incurred.

iii) **Depreciation**

Depreciation is calculated on items of property, plant and equipment to write down the cost of each asset to its residual value over its estimated useful life. No depreciation is charged on items of property, plant and equipment until they are brought into use.

The principal annual rates used for this purpose, which are consistent with those for the previous years, are as follows:

Type of asset	%
Building	2
Plant and machinery	10
Computer equipment	25
Furniture and fittings	20

The assets depreciable methods, useful lives and residual values are reviewed annually and adjusted if necessary. The asset's carrying amount is written down immediately to its recoverable amount if the asset's carrying amount is greater than its estimated recoverable amount.

iv) **Derecognition**

An item of property, plant and equipment is derecognised upon disposal or when no future economic benefits are expected from its use. Any gains or loss arising on derecognition of the asset (calculated as the difference between the net disposal proceeds and the carrying amount of the asset) is included in the income statement within 'Other income or operating expenses' in the year that the asset is derecognised.

e) **Impairment of non-financial assets**

Non-financial assets other than inventories are reviewed at each reporting date for impairment or whenever events or changes in circumstances indicate that the carrying amount may not be recoverable. An impairment loss is recognised for the amount by which the asset's carrying amount exceeds its recoverable amount. The recoverable amount is the higher of an asset's fair value less cost to sell and value in use. For the purposes of assessing impairment, assets are grouped at the lowest levels for which they have separately identifiable cash flows (cash-generating units).

If the recoverable amount of an asset is estimated to be less than its carrying amount, the carrying amount of the asset is reduced to its recoverable amount. An impairment loss is recognised immediately in the income statement, unless the relevant asset is carried at a revalued amount, in which case the impairment loss is treated as a revaluation decrease.

Where an impairment loss subsequently reverses, the carrying amount of the asset is increased to the revised estimate of its recoverable amount, but so that the increased carrying amount does not exceed the carrying amount that would have been determined had no impairment loss been recognised for the asset in prior years. A reversal of an impairment loss is recognised immediately in the income statement, unless the relevant asset is carried at a revalued amount, in which case the reversal of the impairment is treated as a revaluation increase.

f) Inventory

Inventory include salt and chilli pepper, engineering items, bags and other consumables. Inventories are valued at the lower of cost and net realizable value. Cost includes the cost of the products, the landing cost and the expenses/charges associated with the conveyance of the inventory to the warehouse. Costs of the products are determined using the average cost methods. Net realizable value is the estimated selling price in the ordinary course of business less estimated cost necessary to make the sale. Adequate provision is made for slow moving, obsolete and defective inventories to ensure that the value at which inventories is held at the reporting date is reflective of anticipated future sales patterns.

g) Financial instruments

a) Financial assets

Financial assets are initially recognised at fair value plus directly attributable transaction costs. Subsequent remeasurement of financial assets is determined by their designation that is revisited at each reporting date.

i) Classification as trade receivables

Trade receivables are amounts due from customers for goods sold or services performed in the ordinary course of business. They are generally due for settlement within 30 days and therefore are all classified as current. Trade receivables are recognized initially at the amount of consideration that is unconditional unless they contain significant financing components, when they are recognized at fair value. The Company

ii) Classification of financial assets at amortised cost

The Company classified its financial assets as at amortised cost only if both of the following criteria are met:

- the asset is held within a business model whose objective is to collect the contractual cash flows, and
- the contractual terms give rise to cash flows that are solely payments of principal and interest.

iii) Other receivables

These amounts generally arise from transactions outside the usual operating activities of the Company. Interest may be charge at commercial rates where the terms of repayment exceed six months. Collateral is not normally obtained. The non-current other receivables are due and payment within three years from the end of the reporting period.

iv) Prepayments

Prepayments are payments made in advance relating to the following year and are recognised and carried at original amount less amounts utilised in the statement of profit and loss and other comprehensive income.

v) Cash and cash equivalents

Cash and cash equivalents consist of cash at bank and in hand and short-term deposits with an original maturity of three months or less.

For the purpose of reporting cash flows, cash and cash equivalents include cash on hand, bank balances, investments in money market instruments with maturity dates of less than three months and are risk free net of bank overdraft.

vi) Derecognition of financial assets

The Company derecognises a financial asset only when the contractual rights to the cash flows from the asset expires, or when it transfers substantially all the risks and rewards of ownership of the asset to another entity. On derecognition of a financial asset in its entirety, the difference between the asset's carrying amount and the sum of the consideration received and receivable and the cumulative gain or loss that had been recognised in other comprehensive income and accumulated in equity is recognised in the income statement.

vii) Financial liabilities and equity instruments

Financial liabilities are initially recognised at fair value when the Company becomes a party to the contractual provisions of the liability. Subsequent measurement of financial liabilities is based on amortized cost using the effective interest method. The Company financial liabilities include trade and other payables.

Financial liabilities are presented as if the liability is due to be settled within 12 months after the reporting date, or if they are held for the purpose of being traded. Other financial liabilities which contractually will be settled more than 12 months after the reporting date are classified as non-current.

a) Trade and other payables

Trade and other payables are obligations to pay for goods or services that have been acquired in the ordinary course of business from suppliers. Trade and other payables are recognised initially at fair value and subsequently measured at amortised cost using the effective interest method.

b) Dividends

Dividends on ordinary shares are recognised as a liability and deducted from equity when they are approved by the Company's shareholders. Interim dividends are deducted from equity when they are declared and no longer at the discretion of the Company. Dividends for the year that

c) De-recognition of financial liabilities

The Company derecognises financial liabilities when, and only when, the Company's obligations are discharged, cancelled or they expire. The difference between the carrying amount of the financial liability derecognised and the consideration paid and payable is recognised in income statement.

h) Offsetting financial instruments

Financial assets and liabilities are offset and the net amount reported in the statement of financial position when there is a legally enforceable right to offset the recognised amounts and there is an intention to settle on a net basis or realise the asset and settle the liability simultaneously.

i) Impairment of financial instruments

The Company has trade receivables for the sales of inventory that is subject to the expected credit loss model.

While cash and cash equivalents are also subject to the impairment requirements of IFRS 9, the identified impairment loss was immaterial.

The Company applies the IFRS 9 simplified approach to measuring expected credit losses which uses a lifetime expected loss allowance for all. To measure the expected credit losses, trade receivables has been grouped based on shared credit risk characteristics and the days past due. The

The expected loss rates are based on the payment profiles of customers over a period of 36 months from 31 December 2020 and the

j) Taxation

i) Current income tax

The income tax expense for the period comprises current and deferred tax expense. Tax is recognised in the income statement except to the extent that it relates to items recognised in other comprehensive income or directly in equity. In this case, the tax is also recognised in other comprehensive income or directly in equity.

The current income tax charge is calculated on the basis of the tax laws enacted or substantially enacted at the reporting date in Nigeria where the Company operates and generates taxable income.

The tax currently payable is based on taxable profit for the year. Taxable profit differs from profit as reported in the income statement because it excludes items of income or expense that are taxable or deductible in other years, but it further excludes items that are never taxable or deductible. The Company is subject to the following types of current income tax:

- . Company Income Tax - This relates to tax on revenue and profit generated by the Company during the year, to be taxed under the Companies Income Tax Act, Cap C21, LFN 2004 as amended to date
- . Tertiary Education Tax - Tertiary education tax is based on the assessable income of the Company and is governed by the Tertiary Education Trust Fund (Establishment) Act, LFN 2011 (Amended)

ii) Deferred tax

Deferred tax is recognised in respect of temporary differences between the carrying amounts of assets and liabilities for financial reporting purposes and the amounts used for taxation purposes. Deferred tax is not recognised for:

- . temporary differences on the initial recognition of assets or liabilities in a transaction that is not a business combination and that affects neither accounting nor taxable profit or loss.
- . taxable temporary differences arising on the initial recognition of goodwill.

Deferred tax is provided for using the liability method, which represents taxation at the current rate of corporate tax on all timing differences between the accounting values and their corresponding tax written down values. A deferred tax asset is recognised only to the extent that it is probable that future taxable profits will be available against which the amount will be utilised. Deferred tax assets are reduced to the extent that it is no longer probable that the related tax benefit will be realised.

Deferred income tax assets and liabilities are offset when there is a legally enforceable right to offset current tax assets against current tax liabilities and when the deferred income tax assets and liabilities relate to income taxes levied by the same taxation authority on either the same taxable entity or different taxable entities where there is an intention to settle the balances on a net basis.

k) Employee benefits

(i) Short term employee benefits

Short term employee benefit obligations are measured on an undiscounted basis and are expensed as the related services are provided. The Company recognises wages, salaries, bonuses and other allowances for current employees in the income statement as the employees render such services.

A liability is recognised for the amount expected to be paid under short - term benefits, if the company has a present legal or constructive obligation to pay the amount as a result of past service provided by the employee and the obligation can be estimated reliably.

(ii) Defined contribution plans

The Company operates a defined contribution plan as stipulated in the Pension Reform Act, 2014. Under the defined contributory scheme, the Company contributes 10%, while its employees contribute 8% of their annual basic, housing and transport allowances to the scheme. Once the contributions have been paid, the Company retains no legal and constructive obligation to pay further contributions if the fund does not hold sufficient assets to finance benefits accruing under the retirement benefit plan. The Company's obligations are recognised in the income statement as administrative expenses (employee benefits) when they are due. Prepaid contributions are recognised as an asset to the extent that a cash refund or reduction in the future payments is available.

(iii) Defined benefits plan

Defined benefit plans define an amount of pension benefit that an employee will receive on retirement, usually dependent on one or more factors such as age, years of service and compensation. The liability in respect of a defined benefit pension plan is the present value of the defined obligation at the end of the reporting period less the fair value of plan assets, together with adjustments for un-recognised past-service costs. The defined benefit obligation is calculated annually by independent actuaries using the projected unit credit method. The present value of the defined benefit obligation is determined by discounting the estimated future cash outflows, using interest rate of government bond. Actuarial gains and losses arising from experience adjustment and changes in actuarial assumption are charged or credited to equity in other comprehensive income in the period which they arise.

l) **Provisions**

A provision is recognized only if, as a result of a past event, the Company has a present legal or constructive obligation that can be estimated reliably, and it is probable that an outflow of economic benefits will be required to settle the obligation. The provision is measured at the best estimate of the expenditure required to settle the obligation at the reporting date.

Provisions are not recognised for future operating losses. Where there are a number of similar obligations, the likelihood that an outflow will be required in settlement is determined by considering the class of obligations as a whole. A provision is recognized even if the likelihood of an outflow with respect to any one item included in the same class of obligations may be small.

Provisions are measured at the present value of the expenditures expected to be required to settle the obligation. The unwinding of the discount is recognised as a finance cost.

m) **Share capital, reserves and dividends**

i) **Share capital**

Share capital represents the nominal value of shares that have been issued.

ii) **Reserves**

Reserves include all current and prior periods' retained earnings.

iii) **Dividends**

Dividends on ordinary shares are recognised as a liability and deducted from equity when they are approved by the company's shareholders. Interim dividends are deducted from equity when they are declared. Dividends for the year that are approved after the statement of financial position date are disclosed as an event after the statement of financial position.

n) **Related party transactions**

Related parties include the related companies, the directors and any employee who is able to exert significant influence on the operating policies of the company. Key management personnel are also considered related parties. Key management personnel are those persons having authority and responsibility for planning, directing and controlling the activities of the entity, directly or indirectly, including any director (whether executive or otherwise) of that entity.

The Company considers two parties to be related if, directly or indirectly one party has the ability to control the other party or exercise significant influence over the other party in making financial or operating decisions.

Where there is a related party transactions with the company, the transactions are disclosed separately as to the type of relationship that exists with the company and the outstanding balances necessary to understand their effects on the financial position and the mode of settlement.

6) **Financial instruments - risk management**

The Company is exposed through its operations to the following financial risks:

- Credit risk
- Fair value or cash flow interest rate risk
- Foreign exchange risk
- Other market price risk, and
- Liquidity risk.

In common with all other businesses, the Company is exposed to risks that arise from its use of financial instruments. This note describes the Company's objectives, policies and processes for managing those risks and the methods used to measure them. Further quantitative information in respect of these risks is presented throughout these financial statements. There have been no substantive changes in the Company's exposure to financial instrument risks, its objectives, policies and processes for managing those risks or the methods used to measure them from previous periods unless otherwise stated in this note.

(i) **Principal financial instruments**

The principal financial instruments used by the Company, from which financial instrument risk arises are as follows:

- Trade receivables
- Cash and cash equivalents
- Trade and other payables

UNION DICON SALT PLC
FOR THE PERIOD ENDED 30TH JUNE, 2026
NOTES TO THE FINANCIAL STATEMENTS

ii) **Financial instruments by category**

Financial assets

	Loans and receivables	
	2026	2025
	N'000	N'000
Cash and cash equivalents	6,050,000	58,359
Trade and other receivables	359,446	9,375
Total financial assets	6,409,446	67,734

Total liabilities

	Financial liabilities at amortised cost	
	2026	2025
	N'000	N'000
Trade and other payables	14,772,679	2,015,164

General objectives, policies and processes

The Board has overall responsibility for the determination of the Company's risk management objectives and policies and, whilst retaining ultimate responsibility for them, it has delegated the authority for designing and operating processes that ensure the effective implementation of the objectives and policies to the Company's finance department. The Board receives monthly reports from the Company's Accountant through which it reviews the effectiveness of the processes put in place and the appropriateness of the objectives and policies it sets. The Company's Accountant also reviews the risk management policies and processes and reports his findings to the Board.

The overall objective of the Board is to set policies that seek to reduce risk as far as possible without unduly affecting the Company's competitiveness and flexibility. Further details regarding these policies are set out below:

Credit risk

Credit risk is the risk of financial loss to the Company if a customer or counterparty to a financial instrument fails to meet its contractual obligations. The Company is mainly exposed to credit risk from rental income. The Company is not exposed to credit risk from sales of products as it is currently not trading.

Liquidity risk

Liquidity risk arises from the Company's management of working capital and the finance charges and principal repayments on its debt instruments. It is the risk that the Company will encounter difficulty in meeting its financial obligations as they fall due.

The Company is currently experiencing difficulty in meeting its financial obligations as they fall due. However, efforts are being made by the Board to ensure that the Company can start the production and sales of salt in order to generate income for its working capital requirements.

Capital management

The Company's objectives when managing capital are to safeguard the Company's ability to continue as a going concern in order to provide returns for shareholders and benefits for other stakeholders and to maintain an optimal capital structure to reduce the cost of capital.

Management is currently addressing this effectively. As part of the measures to sustain the going concern, the Company has entered into a joint venture arrangement with Joatalim Logistic Limited. This arrangement currently fetches the sum of N230 million annually to sustain the Company. Proper attention is focused on the impact of the negative working capital and net liabilities respectively. To facilitate this, the management is committed to engage in productive activities this year with the approval by the Board to revive salt production and diversify into other business opportunities. As part of the measures to sustain the going concern, the amount due to the related parties will not be required for immediate repayment until the Company returns to a profitable position.

UNION DICON SALT PLC
NOTES TO THE ACCOUNTS
FOR THE PERIOD ENDED 30TH JUNE, 2026

	2026 =N= '000	2025 =N= '000
7 REVENUE		
Revenue arises from:	4,487	-
Gross sales of salt less rebate	-	-
8 COST OF SALES	11,160	-
LESS: CLOSING INVENTORY	18,030	
NET COST OF SALE	(6,870)	-
9 OTHER OPERATING INCOME		
Rental income	37,500	75,000
Dividend income	-	-
Other income-Interest	1,352	
	38,852	75,000
10 ADMINISTRATIVE EXPENSES		
AGENCY FEE	-	-
BUSINESS PLAN	-	1,000
ACCOUNT SOFTWARE	-	765
AUDIT EXPENSE	-	822
COMMUNICATION/DATA EXP	260	493
ADVERT & BRANDING	4,241	15
CORPORATE SUB.	-	100
STAFF TRAINING	250	200
REGUALTORY BODIES	5,678	5,215
ICT	176	2,306
BOARD EXP.	-	280
BIRTHDAY GIFT	-	20
CAR MAINTENANCE	700	1,000
FUEL AND DIESEL	3,427	1,399
STAFF SALARY	9,484	6,286
MARINE EXPENSES	1,908	195
SECURITY	0	37
TRANSPORT RELIEF	4,526	2,354
DIRECTOR ALLOWANCE	500	1,651
MEDICAL/STAFF WELFARE	-	1,590
CONSULTANCY & PROF. FEES	2,300	-
GRATUITY	-	500
REPAIR & MAINT(M/V)	240	949
OFFICE EXP.	3,850	337
STATIONERIES	450	364
TRAVEL AND ACCOMODATION	1,643	1,254
RENT- NPA	-	14,383
CSR	-	20,000
BANK CHARGES	6,219	926
DEPRECIATION	3,149	3,054
	49,001	65,597

UNION DICON SALT PLC
NOTES TO THE ACCOUNTS
FOR THE PERIOD ENDED 30TH JUNE, 2026

2025

11 TAXATION

Current income tax

Taxation for the period in the income statement represent deferred tax, education tax and company income tax

(i) Profit and loss account

Company income tax

Education tax

Nigeria Police Trust Fund Levy

Deferred tax

-
-
-

Income tax recognised in profit or loss

The charge for taxation in these financial statements is computed in accordance with the provision of the Company's Income Tax Act, CAP C21 LFN, 2004 as amended.

The company's education tax is computed in accordance with the provisions of Education Tax Act, CAP E4 LFN, 2004 as amended which is 3% of the assessable profit for the year.

- (ii)** The income tax expense for the year can be reconciled to the accounting profit as per the statement of comprehensive income as follows:

Profit before tax

26,265

Tax at the statutory corporation tax rate of 30%

-

Effect of income that is exempted from taxation

-

Effect of expenses that are not deductible in determining taxable profit

-

Loss relieved

-

Education tax at 3% of assessable profit

Balancing charge/allowance

Nigeria Police Trust Fund Levy

Capital allowances absorbed

-

Minimum tax

Deferred tax provision

-

Tax expense recognised in profit or loss

-

Effective rate

(iii) Statement of financial position

Balance at the beginning of the year

86,332

86,332

Payment during the year:

Income tax

- 1,715

Provision for the year:

Company income tax

Nigeria Police Trust Fund Levy

Education tax

Minimum tax

1,340

Balance at the end of the year

85,957

(iv) Current tax assets and liabilities

Deferred taxation

The following are the major deferred tax liabilities and asset recognised by the Company and movements thereon during the current and prior reporting periods:

	Property, Plant and Equipments N'000	Recognised in Other Comprehensive Income N'000	TOTAL N'000
At 1 April 2026	5,384	-	5,384
Charged to profit or loss	6,029	-	6,029
Charged to other comprehensive income	-	-	-
Reclassification from equity to profit or loss	-	-	-
At 1 January 2026	11,413	-	11,413
Charged to profit or loss	-	-	-
Charged to other comprehensive income	-	-	-
Reclassification from equity to profit or loss	-	-	-
At 30 June 2026	11,413	-	11,413

(v) Deferred tax liabilities

Balance at the beginning of the year

5,384

5,384

Charge for the year

6,029

6,029

Balance at the end of the year

11,413

11,413

UNION DICON SALT PLC
NOTES TO THE FINANCIAL STATEMENT
FOR THE PERIOD ENDED 30TH JUNE, 2026

12 Property, Plant and Equipment

	LEASEHOLD LAND & BUILDING N'000	PLANT AND MACHINERY N'000	FURNITURE & FITTINGS N'000	TRUCKS & OTHER VEHICLES N'000	COMPUTER EQUIPMENT N'000	ADMIN & WAREHOUSE N'000	TOTAL N'000
<u>COST</u>							
At 1 April 2026	66,082	113,166	169,936		17,637		366,821
Additions	-	822,000		520,105	1,900	111,434	1,455,439
Additions	660,000	735,000				504,000	1,899,000
Additions	104,000	1,562,632					1,666,632
Disposal	-	-	-		-		
At 30 June 2026	830,082	3,232,798	169,936	520,105	19,537	615,434	5,387,892
<u>Accumulated depreciation and impairment</u>							
At 1 April 2026	24,374	11,316	167,900		13,920	-	217,510
Charge for the Period			93		271	2,785	3,149
At 30 June 2026	24,374	11,316	167,993		14,096	2,785	220,659
<u>CARRYING AMOUNTS</u>							
At 30 June 2026	41,708	3,221,482	1,943		5,441	108,649	5,167,233

- (a) None of the company's assets is held under lease
(b) None of the company's assets is pledged as collateral for loan
(c) No contractual commitment to acquire asset during the year.

UNION DICON SALT PLC
NOTES TO THE ACCOUNTS
FOR THE PERIOD ENDED 30TH JUNE, 2026

13 OTHER RECEIVABLES

Amount due from related companies (13(a))	-
Staff loan account	8,900
Sundry receivables	350,546
Other assets	
	<u>359,446</u>
Impairment allowance (13(b))	
Total trade and other receivables	<u><u>359,446</u></u>

14 CASH AND CASH EQUIVALENTS

Cash at bank available on demand	<u>2,007,187</u>
Cash Equivalent(Term Deposit)	6,050,000

B PREPAYMENT

8,057,187

15 TRADE AND OTHER PAYABLES

Other payables (Note 15(a))	657,416
Accruals (Note 15(b))	<u>52,869</u>
Total financial liabilities excluding loans and borrowings, classified as financial liabilities measured at amortised cost	710,285
Directors current account	14,004,447
Staff pension (15(c))	<u>57,947</u>
	<u><u>14,772,679</u></u>

The carrying value of trade and other payables classified as financial liabilities measured at amortised cost approximates fair value

(a) Other Payables

PAYE	36,435
PROV. GRATUITY EXISTING STAFF	251,992
WITHOLDING TAX ACCOUNT	150
Union dues	923
Joatelim Nig. Ltd	350,000
CBO capital account	16,534
ITF payables	691
NSITF payables	<u>691</u>
	<u><u>657,416</u></u>

(b) Accruals

Accrued charged	-
Salary payable	-
Audit fees	-
NHF	617
Staff trust fund	143
Rent	<u>85,080</u>
	<u><u>85,840</u></u>

(c) Staff Pension

Balance at the beginning of the year	55,123
Deduction in the year	2,947
Remittance in the year	(123)
	<u>57,947</u>

16 EMPLOYEE BENEFITS LIABILITIES

(a) The company operates a gratuity scheme in line with the provision of the agreements entered into with Nigeria Labour Congress (NLC). The benefits payable to members based on the completed number of years served are as follows:

(i) Less than 2 years of meritorious service	-	Nil
(ii) 2-9 years of meritorious service	-	150% of monthly gross salary
(iii) 10-20 years of meritorious service	-	200% of monthly gross salary
(iv) More than 20 years	-	250% of monthly gross salary

(b) The most recent actuarial valuation of the present value of the defined benefit obligation were carried out at 31 December 2020 by Bestwale Developments Limited and the report was signed by the Managing Director of the company Mr. Wole Ogunkoya (FRC/2013/NAS/00000000986). The present value of the defined benefit obligation, and the related current service cost and past service cost, were measured using the Projected Unit Credit. The company did not undertake any actuarial valuation in the year.

(c) The principal assumptions used for the purpose of the actuarial valuations were as follows:

	%
Discount rate	-
Rate of salary increase	-
rate of inflation	-

(d) Reconciliation of change in benefit obligation

The amount included in the statement of financial position arising from the entity's obligation in respect of its defined benefit plans is as follows:

Balance at the beginning of the year	60,002.0
Current service cost	-
Interest cost	-
Benefit paid	-
Actuarial loss - change in assumption	-
Actuarial loss - experience adjustment	-
Curtailment	-
Balance as at year end	<u>60,002</u>

(e) Statement of Other Comprehensive Income

Actuarial loss on liability during the year due to:

Change in assumption	-
Experience adjustment	-
	<u>-</u>

17 SHARE CAPITAL

(a) Issued and fully paid

	NUMBER	VALUE
Ordinary share of 50 kobo each	273,346	136,673
Addition during the year	-	-
Balance at the end of the year	<u>273,346</u>	<u>136,673</u>

(b) Share Premium

Balance at the beginning of the year	-	250,638
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18 ACTUARIAL RESERVE

Balance at the beginning of the year	-	65,692
Gains for the year	-	-
Balance at the end of the year	<u>-</u>	<u>65,692</u>

19 REVENUE RESERVE

Balance at the beginning of the year	-	1,881,180
Profit/ (Loss) for the year	-	26,266
Balance at the end of the year	<u>-</u>	<u>(1,854,914)</u>

UNION DICON SALT PLC
FINANCIAL STATEMENTS 30TH JUNE 2026
FIVE YEARS FINANCIAL SUMMARY

	2026	2025	2024	2023	2022
	N'000	N'000	N'000	N'000	N'000
REVENUE	4,487	-	-	-	-
Profit before taxation	1,208	61,567	17,858	94,222 -	44,959
Taxation		-	- -	32,982	33,523
Profit after taxation	1,208	61,567	17,858	61,240 -	11,436
FUNDS EMPLOYED					
Share Capital	136,673	136,673	136,673	136,673	136,673
Share premium	250,638	250,638	250,638	250,638	250,638
Retain Earnings	- 1,799,181 -	1,854,914 -	1,881,180 -	1,777,419 -	1,838,659
Actuarial valuation reserve	65,692	65,692	65,692	65,692	65,692
Equity	- 1,346,178 -	1,401,911 -	1,815,488 -	1,324,416 -	1,385,656
EMPLOYMENT OF CAPITAL					
Property, Plant and Equipments	259,312	255,850	47,461	45,728	43,546
Investment in subsidiary	-	-	-	-	53,981
Current Assets	13,988,440	367,865	728,298	67,130	95,142
Total Liabilities	- 15,370,402 -	2,025,626 -	2,203,936 -	1,437,274 -	1,578,326
Total Net Liabilities	- 1,346,178 -	1,401,911 -	1,428,177 -	1,324,416 -	1,385,657

Certification Pursuant to Section 60 of the Investment and Securities Act, 2007

We, Florence Iroye and Peter Adelowo, certify that:

a) We have reviewed the report on the Assessment of Internal control over financial reporting of Union Dicon Salt Plc

(b) Based on our knowledge, this report does not contain any untrue statement of a material fact or omit to state a material fact necessary to make the statements made, in light of the circumstances under which such statements were made, not misleading with respect to the period covered by this report,

(c) Based on our knowledge, the consolidated and separate financial statements, and other financial information Included in this report, fairly present in all material respects the financial condition, results of operations and cash flows of the entity as of, and for, the periods presented in this report:

(d) We

(1) are responsible for establishing and maintaining internal controls;

(2) have designed such internal controls and procedures, or caused such internal controls and procedures to be designed under our supervision, to ensure that material information relating to the Company, and its consolidated subsidiaries, is made known to us by others within those entities, particularly during the period in which this report is being prepared,

(3) have designed such internal control system, or caused such internal control system to be designed under our supervision, to provide reasonable assurance regarding the reliability of financial reporting and the preparation of consolidated and separate financial statements for external purposes in accordance with generally accepted accounting principles;

(4) have evaluated the effectiveness of the Company's internal controls and procedures as of a date within 90 days prior to the report and presented in this report our conclusions about the effectiveness of the internal controls and procedures, as of the end of the period covered by this report based on such evaluation.

(e) We have disclosed, based on our most recent evaluation of internal control system, to the Company's auditors and the audit committee

(1) All significant deficiencies and that there are no material weaknesses in the design or operation of the Internal control system which are reasonably likely to adversely affect the Company's ability to record, process, summarize and report financial information; and

(2) That there is no fraud, whether or not material, that involves management or other employees who have a significant role in the Company's internal control system

(f) We have identified, in the report whether there were significant changes in internal controls or other facts that could significantly affect internal controls subsequent to the date of our evaluation including any corrective actions with regard to significant deficiencies and material weaknesses.



Florence Iroye
Ag. Managing Director
FRC/2021/002/00000023527



Peter Adelowo
Financial Controller
FRC/2025/PRO/ICAN/001/208881